



Sustainability Beyond Boundaries

**Navigating Scope 3 Emissions
through Supplier Engagement**



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Introduction

In an era of increasing environmental consciousness and regulatory pressures, businesses are no longer solely accountable for their direct emissions (Scope 1) and those from purchased energy (Scope 2). A new imperative has emerged, focusing on Scope 3 emissions, encompassing indirect emissions along the entire value chain, including production, transportation, and disposal. Of these, a significant portion emanates from suppliers, making supplier engagement a critical strategy for mitigating Scope 3 emissions and advancing sustainable practices. This paper delves into the importance of addressing Scope 3 emissions, mainly through supplier engagement. It provides insights into practical strategies for businesses to adopt to create a more sustainable future.

The Scope 3 conundrum

While Scope 1 and 2 emissions are more easily quantifiable and manageable due to their direct association with a business's operations, Scope 3 emissions present a complex challenge. These emissions encompass categories such as purchased goods and services, transportation and distribution, waste generated in production, employee commuting, and more. They often constitute most of a company's carbon footprint and extend beyond organisational boundaries, making them difficult to control.

Historically, businesses have concentrated their sustainability efforts on Scope 1 and 2, as internal policies and initiatives more directly influence these. However, with growing societal pressure and stakeholder expectations, the focus has shifted towards Scope 3 emissions, specifically those attributed to suppliers.

Issue of control

The landscape of Scope 3 emissions management introduces a distinctive challenge for businesses, characterised by the intricate interplay of factors across the value chain. Scope 3 emission dependence on external stakeholders is a strategic roadblock in developing and implementing any company's net-zero goal and action plan. To effectively plan for Scope 3, businesses must rely on data and cooperation from tier-1, tier-2, or tier-3 suppliers.

A strategic focus on supplier engagement becomes crucial to bring back the locus of control for Scope 3 emission inside the company control. Businesses recognising the value chain's interdependence and collaborating closely with suppliers can benefit from higher-quality supplier engagement.

Supplier engagement as a catalyst for change

Suppliers are crucial partners in the value chain, holding the key to significant emissions reductions. Engaging suppliers in sustainability initiatives not only addresses environmental concerns but also has the potential to foster innovation, enhance brand reputation, and create shared value. Collaborative efforts can drive efficiency improvements, cost reductions, and more resilient supply chains.

Benefits of supplier engagement

△ Emissions reduction

Suppliers often contribute to a considerable portion of a company's carbon footprint. Engaging them in emission reduction strategies can lead to substantial overall reductions.

△ Risk mitigation

Supplier engagement can help identify and address potential supply chain disruptions due to regulatory changes or resource scarcity, ensuring business continuity.

△ Innovation

Collaborating with suppliers on sustainability challenges can spark innovation, leading to the development of new processes, materials, and products that are more environmentally friendly.

△ Brand enhancement

Consumers and investors are increasingly valuing sustainable practices. Companies that actively engage suppliers in sustainability efforts can strengthen their brand reputation and attract environmentally conscious customers.

△ Competitive advantage

Businesses that effectively manage Scope 3 emissions and engage suppliers gain a competitive edge by demonstrating their commitment to sustainability, potentially securing new business opportunities.

The challenges of supplier engagement

The journey towards effective supplier engagement in Scope 3 emissions reduction presents distinct challenges for suppliers and businesses. As partners in this collective effort, they encounter hurdles that require collaboration and innovative solutions.

Challenges faced by suppliers

△ Capacity constraints

Many suppliers, particularly small and medium-sized enterprises (SMEs), may lack the resources, expertise, and data to assess and reduce their emissions comprehensively. Striking a balance between operational demands and sustainability initiatives can be daunting.

△ Alignment with buyer requirements

Suppliers must align their emissions reduction strategies with varying expectations from different buyers. Balancing diverse criteria while striving for sustainability goals can prove intricate.

△ Data accessibility and accuracy

Suppliers often struggle to gather accurate emission data across their value chains due to data fragmentation, technological limitations, or lack of standardised measurement tools.

Challenges faced by businesses

△ Supplier diversity

Managing a diverse supplier base across industries and geographies poses challenges in streamlining sustainability expectations and engagement strategies. It also raises the issue of various data collection from the business side.

△ Resource allocation

Businesses must allocate time and resources for supplier education, training, and collaboration. Finding the right balance between pushing for sustainability and understanding supplier capacities is critical.

△ Performance variability

Suppliers' varying commitment levels and progress in emissions reduction can impact a business's overall sustainability performance.

Large scale companies create various programs and invest into supplier engagement to reduce their scope 3 emissions



Walmart has a supplier code of conduct that requires all its suppliers to reduce their greenhouse gas emissions by 20% by 2025. Walmart also conducts supplier audits to assess their sustainability performance. Additionally, Walmart works with its suppliers to develop sustainability improvement plans.



Nike has a program called “Better Cotton” where they work with cotton farmers to reduce their water use, improve soil health, and reduce the usage of pesticides. Nike also works with its suppliers to ensure that they use recycled materials in their products.



Apple has a program called “Greener Electronics” that works with its suppliers to reduce their environmental impact. Apple also requires all its suppliers to use renewable energy.

Figure 1: Large scale companies and their supplier engagement

Approaching supplier engagement

Effective supplier engagement begins with a structured approach that identifies key suppliers and sets the foundation for collaboration. Following a methodical approach, businesses can ensure their efforts are targeted, impactful, and aligned with their sustainability goals.



Figure 2: Approach to supplier engagement

Identification of key suppliers for engagement

Prioritisation based on business materiality and alignment of that to supplier materiality is a crucial aspect related to the identification of suppliers. Businesses should undertake the following steps to understand their suppliers more in the context of sustainability :

△ Reviewing the business's supply chain

Initiate by conducting a comprehensive review of the supply chain to identify suppliers that significantly influence the organisation's sustainability objectives. This entails tracking the flow of materials and services across the supply chain to identify the key contributors to emissions or waste.

△ Conducting supplier assessments

Businesses can then conduct assessments of suppliers' sustainability performance. This can involve existing data available with the business or data collected from surveys, audits, and direct discussions, allowing for a better understanding of each supplier's willingness and capacity to engage in sustainability efforts.

△ Engaging in collaborative dialogues

Engage in open discussions with suppliers to gain insights into their sustainability aspirations and ongoing initiatives. This facilitates the identification of suppliers willing to participate in sustainability initiatives and committed to continuous improvement.



Figure 3: Steps in identification of key suppliers for engagement

After gathering primary data on suppliers’ engagement intentions and aligning it with the company’s preferences, the following parameters can be employed to identify critical suppliers

Parameters	Description
Contribution to procurement value	Suppliers with the most contribution to the overall supply chain in terms of value
Contribution to overall emission	Suppliers with a high percentage of contribution towards business Scope 3 emissions
Goal alignment	Suppliers with active net-zero plans that complement the business
Risk	Suppliers contributing to the higher or lower company risks exposure
Criticality in the value chain	Critical Suppliers where engagement will yield better results
Influence on suppliers	Suppliers who can easily align with business Scope 3 emission reduction plan

Table 1: Parameters for evaluating key suppliers

Setting up supplier engagement targets

In the previous step, having undertaken a thorough assessment of value chain activities to identify the pivotal sources of emissions, Scope 3 emissions within the value chain can be understood comprehensively. Subsequently, define the company's overarching emission reduction goals encompassing Scope 3 emissions. Ensure these goals are ambitious and quantifiable, reflecting the company's long-term sustainability vision. These targets are the foundational framework for devising specific engagement objectives with suppliers.

Creating engagement targets

△ Conduct supplier Impact assessment

Use the evaluation of suppliers done in previous steps to understand the impact better. Consider factors discussed in the identification of critical suppliers to ascertain their significance. (This can be done while identifying key suppliers)

△ Set specific engagement targets

Utilise the supplier impact assessment to delineate precise engagement targets for each key supplier. These targets should be based on emission reduction potential, supplier capabilities, and the company's overall emission reduction goals.

△ Segment targets based on timeline and supplier capacities

Acknowledge the diversity in supplier capacities and recognise the importance of varying timelines. Tailor the engagement targets by considering each supplier's capabilities, resources, and growth potential alongside different timeframes. Divide the targets into long-term and short-term objectives, ensuring that suppliers are encouraged to surpass current performance while maintaining realism and attainability.



Figure 4: Steps in setting up supplier engagement targets

Strategies for effective supplier engagement

Successfully engaging suppliers in emissions reduction requires a multifaceted approach that combines communication, collaboration, and incentivisation. The following strategies outline a pathway for businesses to navigate the complexities of Scope 3 emissions and foster sustainable supplier relationships.

1.

Set clear expectations: Begin by defining clear sustainability expectations for suppliers. Develop a comprehensive supplier code of conduct that outlines your environmental requirements and expectations for emissions reductions. Communicate these expectations clearly during supplier onboarding and regular performance reviews.

2.

Collaborative goal setting: Work with suppliers to establish shared emissions reduction goals. Collaboratively identifying feasible targets ensures a sense of ownership and commitment from suppliers. Goals should be specific, measurable, achievable, relevant, and time-bound (SMART).

3.

Capacity building and supplier education: Provide comprehensive training, workshops, and resources to educate suppliers about the importance of emissions reduction, the benefits of sustainable practices, measurement methodologies, data reporting, and best practices. This collaborative approach equips suppliers with the necessary knowledge and capabilities.

4.

Transparency and data sharing: Streamline data collection and reporting processes to facilitate accurate emissions measurement. Utilize technology and platforms that enable suppliers to report emissions data efficiently. Assure suppliers that data will be treated confidentially and used solely for sustainability assessments.

5.

Incentivization and collaboration: Implement incentive mechanisms to encourage supplier participation. Offer rewards for meeting emissions reduction targets, sharing innovative ideas, or collaborating on sustainability projects. Foster a collaborative environment where suppliers feel valued for their contributions.

6.

Continuous monitoring and feedback: Regularly monitor supplier progress toward emissions reduction goals. Provide feedback on performance and offer guidance on overcoming challenges. Continuous engagement helps maintain momentum and fosters a culture of sustainability.

7.

Recognition and reporting: Acknowledge suppliers' achievements in emissions reduction through public recognition and reporting. Highlighting successful collaborations can inspire other suppliers to take similar actions.



Unilever's supplier engagement strategy for Scope 3 emissions reduction

Unilever, a global leader in consumer goods and sustainability, stands as a prime example of effective supplier engagement in Scope 3 emissions reduction. This multinational giant employs a well-structured approach that reflects its commitment to creating a sustainable future.

1. Identification of key suppliers: Unilever meticulously maps its extensive supply chain, identifying partners that share their sustainability vision. Through surveys, audits, and open dialogues, Unilever evaluates suppliers' environmental impact and willingness to collaborate.

2. Setting up engagement targets: With an astute focus on emissions hotspots, Unilever sets ambitious, quantifiable goals that echo their long-term sustainability objectives. These goals cascade into specific targets tailored to each supplier's capabilities and alignment.

3. Strategies for effective engagement: Unilever instills clear expectations through a comprehensive supplier code of conduct. By fostering collaborative goal setting, imparting education, and providing expert support, Unilever nurtures an environment where suppliers proactively engage in emissions reduction.

4. Capacity-building focus: Unilever's hallmark lies in tailored capacity-building. From interactive workshops to personalized coaching, they empower suppliers at various stages of their sustainability journey. This proactive support ensures every partner contributes effectively.

5. Progress tracking and incentives: Unilever's supplier performance tracking system categorizes partners based on their sustainability maturity. Supplier scorecards provide a concise snapshot, while strategic incentives like recognition and benchmarking fuel suppliers' commitment to progress.

Unilever's distinctive approach paints a vivid picture of how collaborative supplier engagement can holistically address Scope 3 emissions, shaping a sustainable value chain for the benefit of the planet and future generations.

Techniques for fostering supplier engagement

Effectively fostering supplier engagement requires recognising that suppliers may be at different stages of their sustainability journey. Businesses can create targeted approaches that drive progress and collaboration by tailoring engagement strategies to suppliers’ maturity levels based on their sustainability practices.

Maturity Level Based on Supplier Sustainability Practices		
Emerging Suppliers	Developing Suppliers	Mature Suppliers
🔄 Education and Awareness 🔄 Data Collection Support 🔄 Simple Goals 🔄 Sharing Best Practices	🔄 Capacity Building 🔄 Collaborative Goal Setting 🔄 Regular Tracking 🔄 Recognition	🔄 Strategic Alignment 🔄 Innovative Projects 🔄 Supplier Collaboration 🔄 Long-Term Partnership

Table 2 : Techniques for fostering supplier engagement

Here are strategies for each maturity level:

1. Emerging suppliers

Emerging suppliers are those who have yet to initiate significant sustainability efforts. Engaging them requires an approach that focuses on education, awareness-building, and gradual progress

- 🔄

Education and awareness: Provide resources, workshops, and webinars to help Emerging suppliers understand the importance of sustainability and Scope 3 emissions reduction.
- 🔄

Data collection support: Offer assistance in collecting emission data, clarifying measurement methodologies, and addressing data-related challenges.
- 🔄

Simple goals: Set attainable initial emission reduction targets to encourage gradual progress without overwhelming Emerging suppliers.
- 🔄

Sharing best practices: Share success stories and case studies from other suppliers to inspire Emerging partners to start their sustainability journey.

2. Developing suppliers

Suppliers who are not actively monitoring their emissions but are open to engagement present an opportunity for collaborative growth. Strategies for this group focus on instilling a sense of ownership and building capacity

- △ **Capacity building:** Offer more in-depth workshops and training sessions on emissions measurement, data management, and sustainability best practices.
- △ **Collaborative goal setting:** Work with suppliers to define realistic emission reduction targets based on their current emissions data.
- △ **Regular tracking:** Encourage suppliers to monitor their emissions, guiding reporting frequency and tools regularly.
- △ **Recognition:** Recognise and celebrate even incremental improvements, reinforcing the value of their efforts.

3. Mature suppliers

Mature suppliers are those already engaged and committed to sustainability. Strategies for this group aim to deepen collaboration, innovation, and continuous improvement

- △ **Strategic alignment:** Collaboratively review and align sustainability goals with Mature suppliers to ensure they contribute to your broader Scope 3 emission reduction strategy.
- △ **Innovative projects:** Encourage Mature suppliers to propose and implement innovative sustainability projects that can yield significant emissions reductions.
- △ **Supplier collaboration:** Facilitate knowledge-sharing and collaboration among Mature suppliers to exchange best practices and innovative ideas.
- △ **Long-term partnerships:** Share success stories and case studies from other suppliers to inspire Emerging partners to start their sustainability journey.

Conclusion

The urgency of addressing Scope 3 emissions requires businesses to extend their sustainability efforts beyond organisational boundaries. Supplier engagement emerges as a powerful strategy to reduce emissions and cultivate a more sustainable value chain.

By setting clear expectations, fostering collaboration, and offering support, businesses can transform their suppliers into strategic partners in the journey towards sustainability. While challenges abound, the potential benefits of emissions reduction, risk mitigation, innovation, and brand enhancement make supplier engagement a vital avenue for navigating the complex landscape of Scope 3 emissions and creating a more sustainable future beyond boundaries.



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**Get in touch to embark
on a journey toward
sustainable success.**